Two Maids & A Mop

Franchise Decision Report

Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: Two Maids Franchising, LLC
Report generated: 2026-03-31

Franchise Decision Radar

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Executive Summary

Two Maids & A Mop is the fastest-growing residential cleaning franchise in this cohort, expanding from 92 to 144 outlets over three years (+56.5%). It is backed by JM Family Enterprises — a family-office holding company, not private equity — making it an outlier in a cohort where PE ownership is the norm. The brand discloses an unusually rich Item 19: 12 charts covering gross revenue, cost of sales, gross margins, web leads, conversion rates, recurring customer percentages, and pricing — broken out by quintile, territory age, household count, and multi-unit ownership.

The core tension is between strong top-line data and a heavy fee structure. At $300K gross revenue, annual franchisor fees total $64,800 (21.6% of revenue) — the highest in the cleaning cohort except for The Maids. The primary driver is the $2,500/month Local Advertising Services Program Fee, which is franchisor-directed and non-negotiable. Combined with a $650/month technology fee and a tiered royalty starting at 7%, the fixed-cost floor is substantial. A franchise doing $300K/year sends roughly $5,400/month to the franchisor before paying a single employee.

The upside case is real: median-quintile territories (Q3) generate ~$495K in gross revenue with 54% gross margins (p. 52), and the recurring customer rate runs 79–83% across all mature quintiles. The system's growth trajectory is accelerating (12 → 24 → 32 openings per year) with minimal closures (4–6/year). Litigation is effectively clean. But the fee burden means the gap between gross margin and owner take-home is wider here than at most peers.

Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the residential cleaning cohort.

DIMENSION	RATING	SUMMARY
Entry cost burden	MIXED	$93K–$150K total investment. Mid-cohort. In-house financing available for franchise and territory fees, which lowers cash-at-signing.
Ongoing fee burden	WEAK	Highest in cohort at every modeled revenue level. 21.6% of revenue at $300K, driven by $2,500/mo franchisor-directed local ad spend + $650/mo tech fee.
System stability	STRONG	Fastest growth in cohort (+56.5% over 3 years). Only 4–6 exits/year against 100+ outlets. Turnover under 5.1%.
Revenue disclosure	STRONG	12-chart Item 19 with gross margin data by quintile. Includes cost of sales, lead metrics, pricing, and recurring rates. Best disclosure depth in cleaning cohort.
Disclosure quality	STRONG	Clean filing. Minor OCR artifacts in Table 3 footnotes but all values cross-verified. No formula errors or population mismatches.
Downside risk profile	MIXED	Fee burden is the primary risk. Local ad fee is franchisor-directed and subject to change. Transfer fees ($25K–$50K) create exit friction. No material litigation risk.
Buyer fit breadth	MIXED	Strong for operators targeting $400K+ revenue who value franchisor-managed marketing. Weaker for budget-sensitive buyers or those wanting marketing control.
Overall	NOTABLE	Richest disclosure and fastest growth in cohort, but the highest fee burden at lower revenue levels. The fee structure rewards scale — economics improve materially above $500K where royalty tiers and fixed costs dilute. Relative cohort position does not establish absolute profitability.

OVERALL POSTURE

Two Maids has the deepest operational disclosure in the residential cleaning cohort and the fastest-growing system by a wide margin. The 12-chart Item 19 gives a buyer more data to work with than any competitor. The trade-off is a heavy fee structure that takes a larger share of revenue than most peers — particularly at lower revenue levels where the $2,500/month local advertising fee and $650/month technology fee are most punitive as a percentage of gross. The economics work best for operators who can push past $500K in gross revenue, where the tiered royalty starts to reward scale and the fixed fees dilute. Buyers who are cost-sensitive or want to control their own marketing spend will find the fee structure less favorable than lower-burden alternatives in this cohort.

Buyer-Fit Profile

Best fit for

- **Operator targeting $400K+ revenue:** The fee structure is regressive at low revenue — the $30K+/year in fixed local advertising and technology fees hit hardest below $300K. Above $400K, these fixed costs dilute to a manageable percentage and the tiered royalty (dropping from 7% to 6% and 5%) starts to reward growth.
- **Buyer who wants franchisor-managed marketing:** Two Maids runs your local digital advertising for you. If you view $2,500/month as buying a managed marketing service rather than a tax, the model works. Web leads average 157–238/month for mature territories (pp. 50–54), suggesting the spend generates activity.
- **Multi-unit operator:** Chart 12 shows 20 multi-unit owners averaging $1.69M gross revenue across ~2.85 territories each. At that scale, the fee structure's regressiveness disappears. The simultaneous-territory discount ($30K vs $40K for additional territories) and in-house financing support multi-unit expansion.
- **Conversion franchise buyer:** Existing cleaning business owners can convert with up to $10K off the territory fee and bring their customer base. The recurring customer rate (79–83%) suggests the model supports customer retention through branding transition.

Weaker fit for

- **Budget-sensitive first-time buyer:** Between the $60K franchise/territory fee, $9K in startup advertising, and $3K/month in local ad spend from day one, cash burn in the first year is significant. Year 1–2 territories average only $275K revenue with 46% gross margin (p. 60) — the math is tight.
- **Buyer who wants marketing control:** The Local Advertising Services Program Fee is franchisor-directed. You pay $2,500–$3,000/month and they decide where it goes. The

franchisor retains up to 10% as a management fee. If you have strong local marketing skills and want to allocate your own spend, this structure will frustrate you.

- **Buyer planning to exit in 3–5 years:** Transfer fees of $24,950–$50,000 (plus a potential $15,000 referral fee if the buyer was already in the franchisor's database) create meaningful exit friction. At a $200K sale price, you could pay $50K+ in transfer-related fees — 25% of the transaction.

Proceed only if

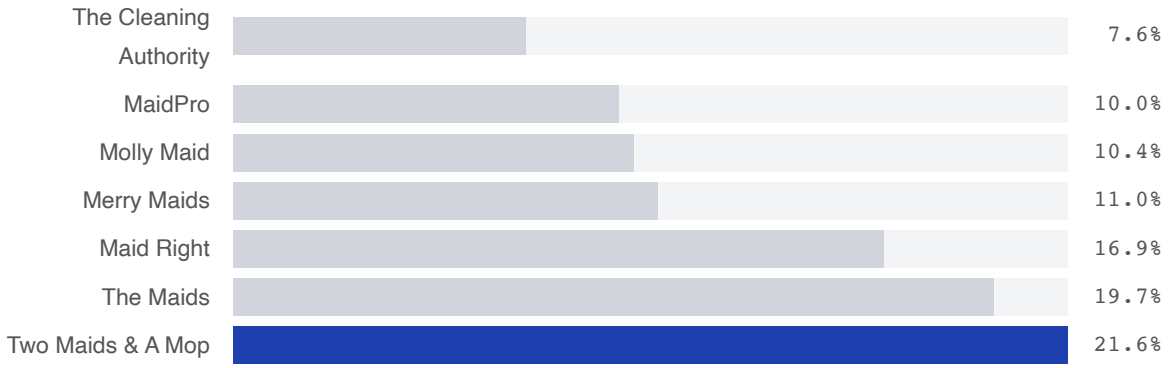
- You have modeled your personal cash flow through the first 18 months, including the $3,000/month local ad fee, $650/month tech fee, and 7% royalty — all of which start before revenue ramps.
- You have spoken to at least 3 franchisees in different quintiles (not just top performers) about whether the franchisor-directed local advertising generates leads proportional to cost.
- You understand the transfer fee structure and have a realistic exit scenario that accounts for $25K–$65K in transfer-related costs.

Fee Burden Analysis

Two Maids has the highest ongoing fee burden in the residential cleaning cohort at every modeled revenue level. The primary driver is the franchisor-directed Local Advertising Services Program Fee: $2,500/month ($30,000/year) on top of a 2% national advertising fund, a 7%-to-4% tiered royalty, and a $650/month technology fee. At $300K revenue, total franchisor fees reach $64,800 — 21.6% of gross. At $200K, the burden spikes to 27.9% because the fixed-dollar components ($37,800/year in local ad + tech fees) do not scale down with revenue.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$14,000	$34,000	$7,800	**$55,800**	27.9%	7/7
$300,000	$21,000	$36,000	$7,800	**$64,800**	21.6%	7/7
$400,000	$27,600	$38,000	$7,800	**$73,400**	18.4%	7/7
$500,000	$33,600	$40,000	$7,800	**$81,400**	16.3%	7/7

Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

Component breakdown

- **Royalty (7%→4% marginal monthly tiers):** 7% on first $30K/month, 6% on $30K–$60K, 5% on $60K–$90K, 4% above $90K. Minimums: $500/month Year 1, $1,500/month thereafter. Most single-territory operators will pay effectively 7% — you need $30K+/month ($360K+/year) before the first tier break even begins to apply. (pp. 15, 19–20)
- **National Advertising Fund (2% of Gross Revenue):** Floor of $250/month Year 1, $500/month thereafter. Straightforward. (p. 15)
- **Local Advertising Services Program Fee ($2,500–$3,000/month):** $3,000/month during first 6 months, then $2,500/month ongoing. Franchisor-directed digital advertising — you do not control the spend. Franchisor retains up to 10% as a management fee (currently greater of $300 or 10% of monthly spend). This is $30,000–$36,000/year in mandatory, non-discretionary marketing cost. (pp. 15–16)
- **Technology fee ($650/month):** Per territory. Among the highest fixed technology fees in the cleaning cohort. Covers franchisor technology platforms. May increase based on actual costs. (p. 16)

> **What this means:** At $300K revenue, you retain ~$235K after franchisor fees. At MaidPro (the lowest-burden brand at that level), you'd keep ~$270K — a $35,000/year difference. Over a 10-year franchise term, that's $350,000 in additional fees paid. The question is whether Two Maids' managed marketing infrastructure and brand momentum justify the premium. The lead generation data in Item 19 (157–238 web leads/month for mature territories) provides partial evidence — but you need to validate conversion quality with current franchisees.

FEE STRUCTURE REWARDS SCALE

The royalty tiers are genuinely progressive — at $90K+/month ($1.08M+/year), marginal royalty drops to 4%. But the math is more interesting at modest scale: a territory doing $500K/year pays an effective blended royalty of ~6.7%, while a $200K territory pays the full 7%. The local ad and tech fees ($37,800/year combined) represent 18.9% of revenue at $200K but only 7.6% at $500K. Two Maids is designed for operators who grow past $400K. Below that, the fee structure is punitive relative to peers.

Item 19 Interpretation

Two Maids discloses the most detailed Item 19 in the residential cleaning cohort: 12 charts covering 147 franchised locations as of December 31, 2024. The disclosure includes gross revenue, direct labor, cleaning materials, cost of sales, gross margin, web leads per month, lead conversion rates, recurring customer percentages, and average pricing — broken out by revenue quintile, territory age, household count, and multi-unit ownership. No other cleaning brand in this cohort provides this level of operational transparency.

Mature territories (2+ years) by revenue quintile

86 territories open 2 or more years, ranked by Gross Revenue and split into quintiles (pp. 50–54):

- **Q1 (top 17):** Average $1.17M, median $1.12M, 52% gross margin. 238 web leads/month, 13% conversion, 82% recurring. (p. 50)
- **Q2 (next 17):** Average $653K, median $625K, 53% gross margin. 192 leads/month, 16% conversion, 80% recurring. (p. 51)
- **Q3 (middle 17):** Average $495K, median $486K, 54% gross margin. 157 leads/month, 13% conversion, 83% recurring. (p. 52)
- **Q4 (next 17):** Average $377K, median $374K, 54% gross margin. 165 leads/month, 12% conversion, 79% recurring. (p. 53)
- **Q5 (bottom 18):** Average $230K, median $235K, 57% gross margin. 105 leads/month, 13% conversion, 79% recurring. Low of $20K suggests at least one near-inactive territory. (p. 54)

The weighted average across all five quintiles is approximately $584K in gross revenue with ~53% gross margin. The inverse relationship between revenue and gross margin percentage is notable — bottom-quintile territories show 57% margin vs 52% at the top. This is because direct labor does not scale linearly: higher-revenue territories run more crews with slightly lower utilization per dollar of revenue.

New territories (1–2 years open)

17 territories open 12–24 months: average $275K, median $262K, 46% gross margin. Recurring rate 76%, lower than mature territories. (p. 60)

The 46% gross margin for new territories vs 53% for mature territories reflects ramp-up inefficiency — new operations carry relatively higher labor costs per dollar of revenue as they build route density. This 7-percentage-point gap narrows as the business matures.

What's disclosed vs what's missing

Two Maids provides *gross* margin — revenue minus direct labor and cleaning materials. It does **not** include owner salary, rent, utilities, insurance, vehicle costs, royalties, advertising fees, technology fees, or any other SG&A. The disclosed 53% gross margin does not mean 53% profit. After franchisor fees alone (~16–22% of revenue depending on scale), the remaining margin for all other operating costs and owner income is roughly 31–37% of gross revenue.

Gross-to-net margin triangulation

The Item 19 gives gross margin only. To estimate what a franchisee actually keeps, we need to layer in franchisor fees and operating costs:

At Q3 median revenue ($486K):

- Gross margin: 54% = ~$262K
- Less franchisor fees (royalty + national ad + local ad + tech): ~$76K (from fee burden model at $500K)
- Remaining for rent, insurance, vehicle, office, supplies, owner draw: ~$186K

At Q5 average revenue ($230K):

- Gross margin: 57% = ~$131K
- Less franchisor fees: ~$56K (from fee burden model at $200K)
- Remaining for all other costs and owner draw: ~$75K

The gap is dramatic. A median Q3 territory has $186K to cover overhead and pay the owner. A Q5 territory has $75K — and must still cover rent (~$18K–$24K), insurance (~$3K–$5K), vehicle/fuel (~$6K–$10K), and miscellaneous office/supply costs (~$5K–$8K) before the owner takes any draw. At Q5 revenue, an owner-operator might net $30K–$40K before taxes. At Q3 revenue, the owner draw plausibly reaches $100K–$130K.

> **What this means:** The Item 19 is rich enough to build a credible model, but the gross-margin-only disclosure flatters the picture. A buyer should focus on the Q3–Q4 range ($375K–$495K) as the realistic target for a single mature territory — not the Q1 headline of $1.17M, which represents the top

> 20% of a self-selected survivor population. The new-territory data (Chart 11) tells you where you'll start: $275K average, 46% gross margin, approximately $55K–$70K remaining after fees and overhead. That is your Year 1–2 reality.

Buyer-Side Economics Reality Check

Important framing: This is not a profitability forecast. It is an illustrative scenario exercise using Two Maids' disclosed Item 19 revenue and gross margin data, combined with the fee burden model for this cohort. Two Maids is unusual in disclosing cost-of-sales data (direct labor + cleaning materials), which gives us a more grounded COGS estimate than most franchise FDDs provide. Your actual results depend on your market, your hiring costs, your route density, and your execution.

SCENARIO	REVENUE	FRANCHISOR FEES	EST. COGS	REMAINING
Year 1-2 territory (Chart 11 avg)	$275,000	$62,550 (22.7%)	$129,249	**$83,201**
Q4 mature territory (Chart 4 avg)	$377,000	$71,422 (18.9%)	$177,190	**$128,388**
Q3 mature territory (Chart 3 avg)	$495,000	$81,000 (16.4%)	$232,650	**$181,350**

Revenue from Item 19 quintile and tenure data. COGS at 47% (derived from disclosed ~53% gross margin for mature quintiles; COGS = 100% − 53% gross margin = 47%, covering direct labor + cleaning materials). Franchisor fees from cleaning cohort fee burden model. 'Remaining' must still cover: rent/lease ($1,500–$2,500/mo), vehicle/fuel, insurance, office supplies, administrative costs, personal taxes, and owner draw. Gross margin for Year 1-2 territories is lower (46%) — the 47% COGS assumption is slightly optimistic for new operations.

Investment Breakdown

Mid-cohort entry cost: $93,440–$149,890 (p. 21). The two-part franchise fee structure ($19,950 Initial Franchise Fee + $40,000 Initial Territory Fee = $59,950) is higher than MaidPro ($29,950) but lower than Molly Maid ($75K territory fee + training). The franchisor offers in-house financing for both fees — unusual in this cohort and a meaningful advantage for cash-constrained buyers.

CATEGORY	LOW	HIGH
Initial Franchise Fee	$19,950	$19,950
Initial Territory Fee	$40,000	$40,000
Lease, Utility and Security Deposit	$2,500	$7,500
Leasehold Improvement Decorating Cost	$4,000	$10,000
Fixtures, Furnishings and Equipment, Computer System, Software, Fax, Printer, Phones	$2,500	$9,800
Uniforms	$750	$750
Telephone/Communication System	$140	$140
Opening Inventory	$1,000	$2,000
Business Licenses	$100	$500
Insurance	$2,500	$4,000
Legal and Accounting	$0	$2,500
Initial Training Expenses	$750	$2,250
Signage - Interior/Exterior signs	$250	$1,500
Local Advertising Start-Up Program Fee	$9,000	$9,000
Additional Funds - 3 Months	$10,000	$40,000
Total	**$93,440**	**$149,890**

What to know about the major line items

- **Franchise fee + territory fee ($59,950):** Two-part structure. $19,950 franchise fee + $40,000 territory fee for first territory. No franchise fee on subsequent agreements; additional territories are $40,000 ($30,000 if purchased simultaneously). 15% veteran/spouse discount available. In-house financing available — terms not fully disclosed in Item 7 but referenced in Item 10. (pp. 14–15, 20)
- **Local Advertising Start-Up Program Fee ($9,000):** $3,000/month for first 3 months, included in Item 7. This is on top of the ongoing $3,000/month local ad fee for months 4–6, then $2,500/month thereafter. Total first-year local advertising cost: approximately $33,000. (p. 21)

- **Working capital ($10K–$40K):** 3 months. Does not include owner salary or draw. The $30K spread is wide — actual needs depend on how quickly revenue ramps. Given that Year 1–2 territories average $275K gross ($23K/month) with 46% gross margin, the low end of this range is likely insufficient. (p. 21)
- **Lease and improvements ($6,500–$17,500):** Light industrial/commercial space, 1,200–1,800 sq ft. Minor improvements. This is a real cost — Two Maids requires a physical office location, not a home-based operation. (pp. 20–21)
- **Conversion franchise discount:** Territory fee reduced by 10% of prior year Gross Revenue, up to $10,000. Total investment range for conversions: $83,440–$139,890. (p. 21)

> **What this means:** A new buyer should plan for ~$120K total cash outlay (the midpoint) plus personal living expenses for 12–18 months. The in-house financing option could reduce cash-at-signing meaningfully — clarify exact terms before committing. The first-year advertising spend ($33K in mandatory local ad fees alone) is a significant component that does not appear in the headline Item 7 range because only $9K of it falls within the "initial investment" period.

System Health

Fastest-growing residential cleaning franchise in this cohort. Net unit growth accelerated each year: +7 (2022), +19 (2023), +26 (2024). The system expanded from 92 to 144 outlets in three years — a 56.5% increase. This is not incremental growth; it is an active expansion campaign. With 21 signed-but-not-yet-opened agreements and 35 projected new outlets for 2025 (p. 67), the franchisor is targeting continued acceleration.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	12	4	+8	99
2023	24	5	+19	118
2024	32	6	+26	144

Low attrition against high growth

Total exits over the 3-year window: 4 (2022), 5 (2023), 6 (2024) — combining terminations and ceased operations. Zero non-renewals in any year. Turnover rate (excluding transfers): 4.4%, 5.1%, 5.1%. For a system growing this fast, the attrition is remarkably low. New franchise systems often see high early-cohort failure rates; Two Maids' 2022–2024 openings appear to be sticking. (pp. 63–67)

Active transfer market

8 (2022), 6 (2023), 10 (2024) transfers. The 10 transfers in 2024 represent 8.5% of start-of-year outlets. A functioning resale market is a positive signal — it means territories have value to buyers. However, the transfer fee structure ($24,950–$50,000 for sales to new franchisees, plus a potential $15,000 referral fee) is among the most complex and expensive in this cohort. Ask the franchisor what recent resale multiples look like. (pp. 16–17, 63–67)

> **What this means:** Two Maids is in an aggressive growth phase backed by family-office capital (JM Family Enterprises). The system is adding outlets faster than any peer while maintaining low attrition — a combination that suggests the franchisor's lead generation and training infrastructure is working. The risk is that rapid growth dilutes territory quality or support resources. Ask franchisees who opened in 2023–2024 whether they felt adequately supported during onboarding.

No company-owned outlets

Zero company-owned locations as of December 2024. The last company-owned territory (Birmingham, AL) was sold to a franchisee in 2022 (p. 66). The franchisor is not competing with its franchisees in any market.

Risk Signals

Fee burden is the primary financial risk

At $200K revenue, total franchisor fees consume 27.9% of gross — the highest in the cleaning cohort at that revenue level. The $2,500/month local advertising fee is the largest single ongoing cost component, and it is franchisor-directed: you cannot redirect that spend to channels you believe perform better in your market. The franchisor also retains a management fee of up to 10% of monthly ad spend. If the managed advertising underperforms in your territory, you bear the cost without the ability to pivot. (pp. 15–16)

Transfer fee friction

The transfer fee structure is the most complex in this cohort. Sales to new franchisees: greater of $24,950 or 6% of sale price, capped at $50,000. If the buyer was already in the franchisor's sales pipeline, an additional Transfer Lead Referral Fee of $15,000 (or broker fee amount) applies. A franchisee selling a $250K territory to a franchisor-sourced buyer could pay $30,000 in combined transfer fees — 12% of the transaction. This is a meaningful drag on exit economics and should be factored into any long-term financial model. (pp. 16–17)

Litigation: effectively clean

One disclosed action — an affiliate entity (Aussie Pet Mobile, under prior ownership) entered a consent order with the Maryland Securities Commissioner in 2006 for selling franchises without proper registration. This involved a different brand under different ownership and predates Two Maids' founding by seven years. No actions involving Two Maids Franchising, LLC directly. This is the cleanest litigation profile in the cohort. (p. 14)

Ownership structure

Two Maids is a subsidiary of Home Franchise Concepts, LLC, which is owned by JM Family Enterprises, Inc. — a diversified family-office holding company controlled by the James M. Moran Intervivos Trust. This is **not** private equity. Family-office ownership typically implies a longer investment horizon and less pressure for rapid exit or dividend extraction compared to PE sponsors. It also means less likelihood of the brand being flipped to a new owner within your franchise term. This is a structural positive, but it does not eliminate the possibility of strategic changes. (p. 9)

Peer Context

Two Maids occupies a distinctive position in the residential cleaning cohort: best disclosure, fastest growth, but the highest fee burden in the cohort. It is the only brand that provides gross margin data by quintile alongside lead generation metrics — giving buyers a more complete picture of unit economics than any competitor.

Closest comparison: The Maids. Similar fee burden profiles (both have $30K/year in mandatory local advertising). The Maids has a larger, more mature system (~338 territories) but is shrinking, not growing. Two Maids is adding 25–30 units/year. If you are choosing between high-fee-burden brands, Two Maids' growth momentum and Item 19 transparency give it a clear edge.

Sharpest contrast: MaidPro. Lowest fully-modelable fee burden among brands without excluded fee components (9–11% of revenue; TCA models lower but excludes its DHH-based Local Marketing Fee). MaidPro gives you more of every dollar you earn, but its Item 19 is thinner and its system is smaller. If you want to keep costs low and run your own marketing, MaidPro is the opposite bet. If you want franchisor-managed marketing and are willing to pay for it, Two Maids is the argument that the spend generates results — web leads of 157–238/month for mature territories provide partial evidence.

Scale consideration: Molly Maid. Largest system in the cohort (over 400 territories), backed by Neighborly's multi-brand infrastructure. Lower fee burden than Two Maids (10–11% of

revenue), but its Item 19 is less detailed. Molly Maid is the safer, lower-cost choice for buyers who prioritize brand recognition over growth momentum.

METRIC	MAID RIGHT	MAIDPRO	MERRY MAIDS	MOLLY MAID	THE CLEANING AUTHORITY	THE MAIDS	TW MAIDS A MC
System size	35	237	802	448	233	338	1
Investment range	$147K–$218K	$109K–$158K	$126K–$170K	$139K–$197K	$92K–$147K	$117K–$141K	$93 $14
Fee burden at $300K	$50,780	$30,000	$32,988	$31,056	$22,902	$59,130	$64,8
% of revenue	16.9%	10.0%	11.0%	10.4%	7.6%	19.7%	21.
3-year net growth	+11	-9	-187	-53	+24	-13	+
Recent attrition	34.1%	3.0%	10.2%	5.4%	1.8%	2.9%	5.
Royalty rate	6.0%	6.0%	7.0%	6.5–3.0%	6.0–4.0%	6.9–3.9%	7. 4.

Decision overlay

Lowest modelable fee burden	MaidPro — 10.0% at $300K with the simplest structure in the cohort: flat 6% royalty + 2% Brand Fund + $500/mo tech. No territory-size-dependent fees.
Richest revenue disclosure	The Cleaning Authority — Per-territory gross revenue ($1.46M average Enterprise), COGS breakdown, price per clean, and customer metrics. Most data for financial modeling.
Best profitability disclosure	The Maids — Only brand disclosing company-owned net margin (15.5%). 97 company-owned offices with $1.18M system-wide average.
Strongest growth trajectory	Two Maids — 56.5% system growth over 3 years (+7, +19, +26 net units). Only brand with sustained, accelerating expansion.
Lowest franchise turnover	The Cleaning Authority — 4.1% in 2024, down from 10.6%. Zero terminations in 2024 across 236-outlet system.

Strongest brand recognition	Molly Maid — 448 outlets, franchising since 1980. Longest track record and Neighborly multi-brand ecosystem.
Highest regulatory risk	Maid Right — CEO barred in California, 6 state regulatory actions, 38.6% turnover, financial condition warnings. Smallest system (35 units).

Discovery Day Diligence Script

These questions are derived from specific findings in the Two Maids & A Mop 2025 FDD. Each includes context on why it matters and what to listen for.

1. The Local Advertising Services Program Fee is $2,500/month and franchisor-directed. What specific channels does the spend go to, and what lead attribution data can you show me for a territory similar to mine?

Item 6, pp. 15–16. $30,000/year in non-discretionary, franchisor-managed ad spend. Franchisor retains up to 10% management fee.

2. Chart 11 shows Year 1–2 territories averaging $275K with 46% gross margin. What does the typical cash flow timeline look like — when do most new operators reach monthly breakeven after all fees?

Item 19, Chart 11, p. 60. 17 territories open 12–24 months. Gross margin 7 points below mature average.

3. The transfer fee can reach $50,000 plus a $15,000 referral fee. Of the 10 transfers in 2024, what was the typical total transfer cost as a percentage of the sale price?

Item 6, pp. 16–17. Transfer fee: greater of $24,950 or 6% of sale price (max $50K). Separate $15K referral fee if buyer was in franchisor pipeline.

4. The technology fee is $650/month per territory. What specifically does this cover, and is there a cap on future increases?

Item 6, p. 16. $7,800/year — among the highest fixed tech fees in the cleaning cohort.

5. The system grew from 92 to 144 outlets in 3 years. At what point does the franchisor expect to slow new openings, and how does rapid growth affect support quality for existing franchisees?

Item 20, pp. 63–67. 32 openings in 2024, 35 projected for 2025. 21 signed-but-not-opened.

6. Q1 territories average $1.17M and Q5 territories average $230K — a 5:1 spread. What distinguishes top-quintile operators from bottom-quintile, and how many years does it typically take to reach Q2–Q3 performance?

Item 19, Charts 1–5, pp. 50–54. All 86 territories are 2+ years old, so the spread is not simply tenure-driven.

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7. JM Family Enterprises is a family-office holding company, not PE. What is the parent company's strategic plan for Two Maids over the next 5–10 years — is a sale, IPO, or roll-up on the horizon?

Item 1, p. 9. Two Maids is a subsidiary of Home Franchise Concepts, LLC, owned by JM Family Enterprises (Moran Trust).

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8. The in-house financing for franchise and territory fees is referenced but not fully detailed in Item 7. What are the specific terms — interest rate, repayment period, and what happens if you default?

Item 7, p. 20. Financing referenced for Initial Franchise Fee and Initial Territory Fee. Full terms in Item 10.

Source & Methodology

Source document: Two Maids & A Mop 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. 272-page regulator-source PDF. SHA-256:
`ec84e32d592c9c445666c2077e83a04116c61391310d508eda903b8a0a669bf6`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Economics scenarios: Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

Peer comparison: Same methodology applied to all 7 brands in this cohort (Maid Right, MaidPro, Merry Maids, Molly Maid, The Cleaning Authority, The Maids, Two Maids & A Mop). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.